Early critique of ethical investing: The Friedman Doctrine

By Agnes Wiborg, Chief ESG Officer

Even though the United Nations didn't coin the term 'ESG' until 2004[1], the topic of ethical investing traces its origins back to the 17th century[2]. In 1970, the American economist Milton Friedman published The Friedman Doctrine, arguing against the thought of "social responsibilities of business in a free-enterprise system". This essay will first discuss the Doctrine and outlining the premises it is built on, then argue that changes in market concentration[a], globalization and regulatory gaps don't align with the premises, limiting the doctrine's ability to by itself fully explain ethical investing in 2026.

The Doctrine says that businesses cannot have responsibilities, only people can. He examines what "social responsibilities of business in a free-enterprise system" requires from whom and how such actions can have consequences.

Friedman expands on this, using an analogy of taxes: "But if he does this (the corporate executive prioritizing making decisions for the general good over the company's financial performance), (i) he is in effect imposing taxes, on the one hand, and (ii) deciding how the tax proceeds shall be spent, on the other:".

(i)Here Friedman refers to the corporate executive spending someone else's money for a general social interest. One example in the doctrine is how avoiding raising the price of a product to prevent inflation, leads to spending the shareholders money by reducing the amount of money they could earn.[b]

(ii) Friedman explains how the corporate executive should represent the shareholders. "The whole justification for permitting the corporate executive to be selected by the stockholders is that the executive is an agent serving the interests of his principal. This justification disappears when the corporate executive imposes taxes and spends the proceeds for "social" purposes.".

Even though this taxation analogy is easy to follow, one might argue that it is used to influence rather than inform the reader. Especially when he writes "We have established elaborate constitutional, parliamentary and judicial provisions to control these functions, to assure that taxes are imposed so far as possible in accordance with the preferences and desires of the public- after all, "taxation without representation" was one of the battle cries of the American Revolution" which might emotionally resonate with American readers especially as the Doctrine was published under the cold war.[3]

Friedman's conclusion was "That responsibility is to conduct the business in accordance with their desires, which generally will be to make as much money as possible while conforming to the basic rules of society, both those embodied in law and those embodied in ethical custom.".

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“Conforming to the rules embodied in law”

This premise from the Friedman Doctrine is difficult to uphold when companies increase in size because it becomes impossible to hold them legally accountable. In the 2020 hearing at Capitol Hill, tech companies Amazon, Facebook (Meta), Apple and Alphabet were told they were not only harming competitors, but also their consumers, raising both governance and social concerns. 4 In a tv-series called ‘Golden vs. Zuckerberg’, Johan Golden, a stand-up comedian, tried to sue Meta and Mark Zuckerberg for letting scammers use his face to scam people on Facebook (Meta). Even though he reported this several times, Meta didn’t take them down and he argued that it is because the scammers, like legitimate advertisers, pay Meta.

Furthermore, every time he tried to reach costumer services, he was referred to press@meta.com who every time responded with “Scammers often change tactics to avoid detection. We are constantly developing new technology to prevent scams. Impersonating a public figure is prohibited, and we remove such ads when we discover them.” c without doing anything further. 6

In the last episode, Golden went to the customer service part of Meta's office in Silicon Valley but met a guard who said that they do not have customer service there. It is evident from the tv-series, that Meta's costumers are not Facebook users but rather the advertisers, while the users' information is the product. Even though the doctrine may hold for smaller companies, this example makes a strong case against the premise of "conforming to the rules embodied in law" because Golden had many difficulties trying to get in touch with Meta and to hold them legally accountable. Furthermore, Meta, in being such a large company, had 25 lawyers whereas Golden had 1, again showcasing the challenges with Friedman's premise.

"Conforming to the rules embodied in ethical custom"

When Friedman wrote in 1970 that "while conforming to the basic rules of society, both those embodied in law and those embodied in ethical custom." the world was less globalised and "basic rules of society" likely referred to the Western standards. Therefore, in a defined area, the premise of "conforming to the rules embodied in ethical custom" might hold. However, the increase in globalisation, which calls for internationally recognised standards, is a threat to this premise as there is not one universal set of customs5.

One example, using a company in the SMIF portfolio, is the Walt Disney Company. Even though this example is from 1992, it is still relevant for the business landscape of 2026, which is even more globalised. In 1992, the Walt Disney Company decided to start up a Disney park in Paris after their parks in Australia, the US and Japan had all been successful. However, due to cultural differences, they met problems described as “For example, breakfast at the park was not served; instead in the French culture breakfast is one of the most important “moments” of the day. Moreover, alcoholic drinks were not allowed in the park: contrary French always have a glass of wine during their main meals. In addition, also the dress code requirements did not meet the French standards in work environments.”6 This shows how even when the countries are similar in things such as religion, there are many cultural differences that makes it impossible to know whether a company is “conforming to the basic rules of society and “confirming to the rules embodied in ethical custom”. One might argue that a framework is needed because of this ambiguity.

Overall, even though the Friedman Doctrine holds on small cale businesses, its premises fail to uphold in 2026. When companies’ size makes them “untouchable”, as seen when Johan Golden was never able to talk with customer service, it becomes difficult to hold them legally accountable. Additionally, globalisation highlights how difficult it is for companies to know how to act ethically. However, this was also an issue in the 1970s, a time when there were many contrasting ideologies. Therefore, globalisation itself isn’t making the doctrine irrelevant, but rather works as a driving force of company expansion to a level that wasn’t available when Milton Friedman wrote his doctrine.

Glossary:
a: the competitive landscape of business
b: opportunity costs
c: directly translated from Norwegian

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